

Quiz 2

ECON 101: Macroeconomics

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Instructions

Answer all questions on the answer sheet. Show all work for numerical problems. Multiple-choice questions have one correct answer.

1. Suppose beef and chicken are substitutes. If the price of beef rises, holding all else constant:
 - a) Demand for chicken decreases.
 - b) Supply of chicken decreases.
 - c) Demand for chicken increases.
 - d) Quantity demanded of chicken decreases.

2. Which of the following transactions is **included** in Canada's GDP?
 - a) A Canadian student buys used textbooks from another student.
 - b) A Canadian firm sells lumber to a U.S. company.
 - c) A Canadian tourist purchases a meal in Paris.
 - d) A Canadian household does its own home repairs.

3. Real GDP differs from nominal GDP because real GDP:
 - a) Includes only goods, not services.
 - b) Is adjusted for population size.
 - c) Values output at constant prices.
 - d) Excludes investment spending.

4. If the GDP deflator increases from 120 to 132, the inflation rate is approximately:
- a) 10%
 - b) 12%
 - c) 9%
 - d) 8%
5. Which of the following would **not** increase GDP?
- a) Higher consumption of new cars.
 - b) More exports of manufactured goods.
 - c) An increase in unpaid household work.
 - d) Greater investment in factories.

Problem 1: The market demand and supply for pizzas in Toronto are given by:

$$Q_D = 200 - 5P, \quad Q_S = 20 + 3P,$$

where Q is the number of pizzas and P is the price in dollars.

- a) Find the equilibrium price and quantity.
- b) If the government imposes a price floor at \$25, calculate the resulting surplus or shortage.

Problem 2: Suppose the following Canadian macroeconomic data (in billions):

- Consumption: \$1,200
 - Investment: \$500
 - Government spending: \$600
 - Exports: \$450
 - Imports: \$550
- a) Calculate nominal GDP using the expenditure approach.
 - b) If population = 37 million, compute GDP per capita.
 - c) If potential GDP = \$3,000 billion, calculate the output gap as a percentage.